



Bureau of Experts at the Council of Ministers
Official Translation Department

Financial Control Law

Royal Decree No. M/122
December 1, 2025

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.

For any comments or inquiries, please contact the Official Translation Department at:

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Royal Decree No. M/122

Date: 10/6/1447H

**With the help of Almighty Allah,
We, Salman bin Abdulaziz Al Saud,
King of the Kingdom of Saudi Arabia,**

Based on Article 70 of the Basic Law of Governance, issued by Royal Order No. A/90, dated 27/8/1412H;

Based on Article 20 of the Law of the Council of Ministers, issued by Royal Order No. A/13, dated 3/3/1414H;

Based on Article 18 of the Shura Council Law, issued by Royal Order No. A/91, dated 27/8/1412H;

Upon perusal of Shura Council Resolutions No. 197/19, dated 4/8/1446H, and No. 30/3, dated 7/4/1447H; and

Upon perusal of Council of Ministers Resolution No. 415, dated 4/6/1447H;

Have decreed as follows:

First:

The Financial Control Law, attached herewith, shall be approved.

Second:

The provisions of the Law referred to in Clause (First) of this Decree shall not apply to the Saudi Central Bank, the Oversight and Anti-Corruption Authority, and the General Court of Audit.

Third:

His Highness the Prime Minister, the ministers, and the heads of relevant independent agencies shall, each within his jurisdiction, implement this Decree.

Signed

Salman bin Abdulaziz Al Saud



Resolution No.: 415

Date: 4/6/1447H

The Council of Ministers,

Upon perusal of Casefile No. 28595, dated 9/4/1447H, received from the Royal Court, including Telegram No. 11891, dated 20/11/1442H, of His Excellency the Minister of Finance regarding the draft Financial Control Law;

Upon perusal of the abovementioned draft Law;

Upon perusal of the Law of Financial Controllers, issued by Royal Decree No. M/85, dated 20/9/1380H;

Upon perusal of Memoranda No. 457, dated 22/2/1443H; No. 1571, dated 15/7/1443H; No. 77, dated 9/1/1444H; No. 3274, dated 10/9/1445H; No. 154, dated 9/1/1446H; No. 642, dated 22/2/1446H; No. 1555, dated 4/5/1446H; and No. 3887, dated 27/11/1446H, prepared by the Bureau of Experts at the Council of Ministers;

Upon perusal of Recommendation No. 1-3/46/T, dated 23/3/1446H, of the Council of Economic and Development Affairs;

Upon perusal of Recommendation No. 19-50/46/D, dated 26/12/1446H, prepared by the Council of Economic and Development Affairs;

Upon review of Shura Council Resolutions No. 197/19, dated 4/8/1446H, and No. 30/3, dated 7/4/1447H; and

Upon perusal of Recommendation No. 5615, dated 24/5/1447H, of the General Committee of the Council of Ministers;

Resolves as follows:

First:

The Financial Control Law, attached herewith, shall be approved.

Second:

The provisions of the Law referred to in Clause (First) of this Resolution shall not apply to the Saudi Central Bank, the Oversight and Anti-Corruption Authority, and the General Court of Audit.

A royal decree has been drafted to this effect; its form is attached herewith.

Signed
Prime Minister

Financial Control Law

Part 1: General Provisions

Article 1

In this Law, the following words and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

Law: Financial Control Law.

Regulations: Implementing Regulations of the Law.

Minister: Minister of Finance.

Ministry: Ministry of Finance.

Government Agency: Ministries; government entities; public authorities, departments, and institutions; and independent public legal entities, included in the State Budget.

Entity: A government entity or any other entity subject to the provisions of Article 3 of this Law.

Oversight Agencies: The General Court of Audit, the Oversight and Anti-Corruption Authority, and any other entity in charge of oversight of public funds.

Internal Control Systems: Policies and procedures adopted by the entity to ensure the achievement of its strategic objectives, and provide reasonable assurance regarding the realization of operational efficiency and financial reliability, and ensure compliance with the laws and regulations.

Financial Control: Policies, procedures, and means applied by the Ministry to the entity through the control methods provided for in the Law, without prejudice to the jurisdiction of oversight agencies.

Control Standards: Measures and procedures, both manual and automated, applied by the entity and its personnel to mitigate risks affecting the achievement of its objectives.

Comptroller: A Ministry employee entrusted with exercising financial control over the entity in accordance with this Law and the Regulations; this includes the financial controller authorized by the Ministry to oversee procedures and operations with financial impact within the government agency.

Direct Control: A control method whereby the Ministry applies, through the financial controller, financial control over the government agency's procedures and operations with financial impact.

Internal Control: A control method in which the government agency is responsible for monitoring its operations, in accordance with the laws, regulations, and instructions.

Digital (Technological) Control: A control method where the Ministry monitors government resource systems of financial impact.

Control by Reports: A control method where the Ministry requests and analyzes reports from an entity, in accordance with the provisions of this Law and the Regulations.

Information Systems: A set of interconnected programs and technological tools used for entering, retrieving, storing, analyzing, processing, and displaying data and information of various forms.

Government Resource Systems: Electronic financial and administrative systems for government resources which serve government agencies as well as individuals and private sector entities dealing with such agencies.



Corrective Measures: Action plans developed by the Ministry and the entity to address any remarks and rectify violations detected during the Ministry's performance of its duties under this Law and the Regulations, or take the necessary measures for approval of the transaction.

Article 2

This Law aims to achieve the following:

1. Promote accountability, integrity, and transparency.
2. Regulate procedures related to financial control.
3. Achieve effective oversight and assist the entity in enhancing its internal control systems.
4. Improve control over the entity's procedures and operations of financial impact, in accordance with the laws, regulations, and instructions.
5. Organize and ensure complementarity of the roles of the Ministry and oversight agencies.

Article 3

This Law shall apply to the following:

1. Government agencies.
2. Entities not included in paragraph (1) of this Article that:
 - a) receive direct support, grants, or subsidies from the State treasury, in accordance with the controls and provisions specified by the Regulations; or
 - b) execute works or procurement on behalf of a government agency or collect State revenues pursuant to a legal instrument or under a contract with a government agency.

Article 4

For the purposes of the application of this Law, and without prejudice to the jurisdictions of relevant agencies, the Ministry shall:

1. apply and monitor financial control at the entity;
2. approve controls, policies, and procedures, whether manual or automated, for the application of financial control;
3. propose amendments to the laws, regulations, and instructions related to internal control systems adopted by the entity, and complete the necessary statutory procedures;
4. establish the necessary corrective measures in conjunction with the entity and determine the priority thereof; and
5. prepare reports for the entity regarding any significant remarks related to the application of the provisions of this Law and the Regulations.

The Regulations shall specify the procedures for preparing reports and for notifying the entity thereof.

Part 2: Financial Control Methods

Chapter 1: General Provisions

Article 5

Financial control shall be applied according to the following methods:

1. Direct control.
2. Internal control.
3. Digital (technological) control.
4. Control by reports.

Article 6

1. The Minister, or his designee, may determine and change the financial control method applied to a government agency. The Regulations shall specify the criteria for determining the financial control method.
2. More than one control method may be used for a government agency in accordance with the controls and provisions provided for in this Law and the Regulations.

Chapter 2: Direct Control

Article 7

Without prejudice to the obligations of the government agency to apply internal control systems, the Ministry shall exercise direct control over the government agency's procedures and operations of financial impact to ensure compliance with the laws, regulations, and instructions; in case of non-compliance, the Ministry shall take the necessary measures in accordance with this Law and the Regulations.

Article 8

1. If a government agency is subject to direct control, the Ministry shall assign a financial controller to such agency to oversee its procedures and operations of financial impact, in accordance with the provisions of this Law and the Regulations.
2. As for disbursement procedures, the financial controller shall approve disbursement in any of the following cases:
 - a) The government agency complies with the laws, regulations, and instructions.
 - b) The government agency fails to comply with subparagraph (a) and an official letter authorizing the disbursement is issued by the competent minister or the head of the government agency to the financial controller. The government agency must notify the General Court of Audit within 30 days of the issuance of such letter in order for the General Court of Audit to take the necessary action in accordance with its jurisdiction.



Chapter 3: Internal Control

Article 9

1. For the purpose of applying internal control in a government agency, the Ministry shall:
 - a) assess the efficiency and efficacy of internal control systems and information systems of financial impact as well as governance procedures used in such systems at the government agency, and ensure compliance with the laws, regulations, and instructions; and
 - b) conduct assessments to ensure that the operations and activities of the departments entrusted with control at the government agency are of high quality, provide professional consultation, and monitor the implementation of recommendations, without prejudice to the jurisdiction of oversight agencies.
2. Internal control may be applied fully or partially based on the results of the assessments referred to in paragraph (1) of this Article.

Article 10

The government agency must, when applying full internal control, fulfill the statutory requirements assigned to the comptroller as provided for in the laws, regulations, and instructions.

Article 11

The Ministry shall support the application of internal control in the government agency by providing appropriate assistance, issuing necessary guidelines and instructions, and responding to inquiries from the government agency for the purpose of developing its internal control systems.

Chapter 4: Digital (Technological) Control

Article 12

The Ministry shall implement digital (technological) control at the government agency by monitoring government resource systems, analyzing data generated thereby, and examining related control standards to ensure compliance with the laws, regulations, and instructions, in cooperation with the entities regulating and operating such systems and in accordance with the provisions of this Law and the Regulations.



Chapter 5: Control by Reports

Article 13

1. The Ministry shall apply control by reports by requesting financial and oversight reports from the entity; it may also request relevant documents and data.
2. Oversight over the entities referred to in paragraph (2) of Article 3 of this Law shall be limited to the control by reports method and within the funds and scope of works provided for in such paragraph.
3. The Regulations shall determine the provisions for applying the control by reports method.

Part 3: Responsibilities of the Entity Subject to Financial Control

Article 14

The entity shall provide comptrollers with the assistance necessary for carrying out their duties in accordance with this Law and the Regulations.

Article 15

The entity shall be responsible for:

1. developing an adequate and effective framework for its internal control systems that is consistent with the Regulations, and ensuring its proper application;
2. the validity and legality of all its financial operations and the use of public funds for the intended purposes;
3. enabling comptrollers to access all relevant documents, data, and remarks in accordance with the provisions of this Law and the Regulations, except for those related to the control by reports method mentioned in Article 13 of this Law;
4. cooperating with the Ministry to address any inadequacy in the design and application of control standards;
5. raising personnel awareness regarding internal control system requirements;
6. complying with the laws, regulations, and instructions related to the financial control method applied thereto; and
7. responding to the Ministry's remarks and communicating any actions taken in accordance with the established corrective measures as well as the provisions and controls specified by the Regulations.



Part 4: Oversight Agencies

Article 16

The Ministry shall cooperate with oversight agencies to protect public funds and ensure the complementarity of roles in exercising their respective powers. The Regulations shall determine the relationship between the Ministry and oversight agencies.

Part 5: Comptrollers

Article 17

Without prejudice to the laws and regulations, the Regulations shall specify the requirements for appointment to financial control positions.

Article 18

Comptrollers shall report to their respective financial control departments at the Ministry, while ensuring the necessary autonomy and objectivity in performing their duties. No person may interfere with the performance of their duties, provided they comply with the Ministry's policies, procedures, and regulations. The Regulations shall specify the relevant standards and controls.

Article 19

A comptroller must exercise due professional care, maintain confidentiality, and disclose any conflict of interest. The Regulations shall specify the duties and code of conduct for comptrollers.

Article 20

Comptrollers may access the entity's confidential documents to the extent necessary to perform their duties, in accordance with the controls specified in the Regulations.

Article 21

Without prejudice to any financial benefits prescribed by the laws and regulations, the Minister may grant a reward to a comptroller who exerts exceptional efforts in protecting public funds, provided that such reward does not exceed three months' salary per year. The Regulations shall specify the controls governing the granting of such reward.



Part 6: Violations and Penalties

Article 22

Without prejudice to relevant laws, any person who commits any of the following acts shall be deemed in violation of the provisions of this Law:

1. Failing to grant comptrollers access to documents, information systems, or other materials to which they are entitled access according to this Law and the Regulations.
2. Providing comptrollers with incorrect information.
3. Failing to respond to the correspondence and remarks of comptrollers or to eliminate obstacles preventing them from performing their duties in a timely manner, or delaying response without justification. A response meant to procrastinate or stall shall be deemed a failure to respond.
4. Failing to implement corrective measures to address control remarks of high priority in accordance with the controls and provisions specified by the Regulations.

Article 23

The Ministry shall have the right, upon detection of any violation of this Law or the Regulations, to request the entity whose personnel committed the violation to issue an incident report; the entity must promptly take the necessary action upon notification thereof.

Article 24

The entity shall, after issuing an incident report of the violation pursuant to Articles 22 and 23 of this Law, undertake the following:

1. Provide the Ministry with a report on the measures and decisions taken regarding detected violations. The Ministry may request the entity to take any further measures the Ministry deems appropriate to address shortcomings in control standards to prevent repetition of such violations.
2. Rectify the violation or, if warranted, take the necessary measures for approval of the transaction, in accordance with applicable laws and instructions.

Article 25

Investigation into the acts provided for in Article 22 of this Law and the imposition of penalties shall be in accordance with applicable laws and the internal regulations of the entity.



Part 7: Final Provisions

Article 26

The Minister shall submit to the Prime Minister an annual report containing a summary of financial control activities.

Article 27

The Minister shall issue the Regulations within 120 days from the date of publication of this Law in the Official Gazette; said Regulations shall become effective as of the date this Law enters into force. The Minister may issue executive decisions, instructions, guides, and templates necessary for the application of this Law.

Article 28

This Law shall supersede the Law of Financial Controllers issued by Royal Decree No. M/85, dated 20/9/1380H.

Article 29

This Law shall enter into force 120 days from the date of its publication in the Official Gazette.